EXAMINATIONS COUNCIL OF ESWATINI
Eswatini General Certificate of Secondary Education

**ACCOUNTING** **6896/02**

Paper 2 **Specimen Paper 2027-2029**

**Total marks: 100**

# *Confidential*

# MARK SCHEME



 

**Question 1**

Rent Payable account

| | | | | | | |
|---|---|---|---|---|---|---|
| 2025 | | | E | 2026 | | E |
| Oct 1 | Balance b/d | | 1 500 **(1)** | Sept 30 | Income statement | 24 000**(1)** |
| Oct 5 | Cash | | 4 500 | | | |
| 2026 | | | **(1)** | | | |
| Jan 5 | Bank | | 7 000 | | | |
| Apr 6 | Bank | | 8 000 | | | |
| Sept 30 | Balance | c/d | 3 000 | | | |
| | | | 24 000 | | | 24 000 |
| | | | | 2026 | | |
| | | | | Oct 1 | Balance b/d | 3 000**1OF** |

Rent Receivable account

| | | | | | | | |
|---|---|---|---|---|---|---|---|
| 2025 | | | E | 2026 | | | E |
| Oct 1 | Balance | b/d | 250**(1)** | Jan 1 | Cash | | 600 |
| 2026 | | | | Apr 1 | Cash | | 750 **(1)** |
| Sept 30 | Income Statement | | 3 000**(1)** | Jul 1 | Cash | | 900 |
| | | | | Sept 30 | Balance | c/d | 1 000 |
| | | | 3 250 | | | | 3 250 |
| 2026 | | | | | | | |
| Oct 1 | Balance | b/d | 1 000**1OF** | | | | |

**+ 1 dates for both accounts** **[9]**

**(b)** - Mavela prepaid rent by E1500 on 1 October 2025**(1)**

- Sandiswa owed Mavela rent E250 on 1 October 2025**(1)** **[2]**

**(c)** **(i)** Cash book **[1]**

**(ii)** Nominal/ general ledger **[1]**

**(d)** Expenses **(1)**

Other income **(1)** **[2]**

**(e)** **(i)** Rent payable 3000 **(1)OF** current liabilities**(1)OF**

**(ii)** Rent receivable 1000**(1)OF** current assets**(1)OF** **[4]**

**[Total: 19]**

**Question 2**

**(a)**

| Date | Assets E | Liabilities E | Capital E |
|---|---|---|---|
| Aug 5 | Bank 20 000<br>Inventory 5 000<br>Motor vehicle 50 000**(1)** | Trade payables 5 000 | Capital 70 000**(1)** |
| Aug 10 | Bank 19 000**(1)**<br>Inventory 5 000<br>Motor vehicle 50 000 | Trade payables 5 000 | Capital 69 000**(1)** |
| Aug 12 | Bank 29 000**(1)**<br>Inventory 5 000<br>Motor vehicle 50 000 | Loan – Bank 10 000**(1)**<br>Trade payables 5 000 | Capital 69 000 |
| Aug 14 | Bank 29 000<br>Inventory 2 000**(1)**<br>Motor vehicle 50 000<br>Trade receivables 3 600**(1)** | Loan – Bank 10 000<br>Trade payables 5 000 | Capital 69 600**(1)** |

**[9]**

**(b)** Non-current assets**(1)** are assets of the business that are bought for use for a period exceeding a year**(1)**

Example – Premises, Motor vehicle, Furniture
Or other suitable example
Any one x 1

Current assets **(1)** are properties of the business that can be easily converted into cash and cash equivalents usually within a year **(1)**

Example: Inventory, Trade receivable, Bank, Cash
Or other suitable example
Any one x 1

**[6]**

**[Total: 15]**

## Question 3

**(a)** Sizwe's Quick ratio

(4300 + 250) **(1)** : ( 1900 + 600)**(1)**
= 4550 : 2500
= 1.82:1**(1)**

Simvile's Quick ratio

(5600+500+450) **(1)**: 6550**(1)**
= 6550 : 6550
= 1 : 1**(1)**

**[6]**

**(b) Comments must be based on the answer given in part (a)**

Sizwe - unsatisfactory
- above the benchmark/acceptable range of 0.7 : 1 and 1:1
- although he would be able to meet his short term obligations as they fall due, this shows poor management of liquid assets

Accept any valid point
Any two x 1

**Comments must be based on the answer given in part (a)**
Sizwe - unsatisfactory
- above the benchmark/acceptable range of 0.7 : 1 and 1:1
- although he would be able to meet his short term obligations as they fall due, this shows poor management of liquid assets

Accept any valid point
Any two x 1

**Comments must be based on the answer given in part (a)**
Simvile - satisfactory
- falls within the benchmark/acceptable range of 0.7 : 1 and 1:1
- she can pay for her short term liabilities as they fall due

Accept any valid point
Any two x 1 **[4]**

**(c)**
- to improve liquidity
- to improve profitability
- to analyze results, identify problem areas and work on corrective measures
- to assist in planning for the future

Accept any valid point
Any three x 1 **[3]**

**(d)**
- prepared with suitable caution being applied to any judgment and estimates
- capable of being independently verified
- free from bias
- free from significant errors
- must be capable of being dependent on/ as being true statements of the transactions and events which are being recorded

Any four x 1 **[4]**

**[Total: 17]**

**Question 4**

**(a) (i)** Cost - the purchase price of inventory **(1)** plus any additional costs of bringing it to its current position and state in the business **(1)**

Net realisable value - the estimated receipts from the sale of inventory **(1)** less any costs of completing or selling the goods **(1)** **[4]**

**(ii)** - The gross profit and the profit for the year **(1)** will not be overstated **(1)**
- Current assets **(1)** will not be overstated **(1)**

Any one x 2 **[2]**

**(b)**

| | Overstated | Understated | No effect |
|---|---|---|---|
| Cost of goods available | | | ✓ **(1)** |
| Cost of sales | | ✓ **(1)** | |
| Profit for the year | ✓ **(1)** | | |
| Capital | ✓ **(1)** | | |
| Assets | ✓ **(1)** | | |

**[5]**

**(c)**

| | | E | E |
|---|---|---|---|
| Inventory at 1 September 2026 | | | 6 000 **1OF** |
| Purchases | (289 x 42) | 12 138**(1)** | |
| Less: returns outwards (42 x 5) | | 210**(1)** | |
| | | 11 928 | |
| Add: carriage inwards | | 240 **(1)** | 12 168 |
| Cost of goods available at 2 September 2026 | | | 18 168**1OF** |

Accept any alternative format **[5]**

**(d)** - First-In First-Out (FIFO) **(1)** assumes that inventory purchased first is sold first**(1)**.
- Last-In First-Out (LIFO) **(1)** assumes that the last item of inventory is the first one to be sold **(1)**.
- Average cost (AVCO) method**(1)** assumes that the cost of inventory is based on the average cost of goods available for sale during the period**(1)**. **[6]**

**[Total: 22]**

## Question 5

**(a)** **(i)** - a fixed rate of 8% interest will be paid on the loan stock **(1)** whether or not profits have been made **(1)**

- time period **(1)** within which the loan stock could be paid back **(1)** **[4]**

**(ii)** – a fixed rate per annum at which preference share dividends will be paid **(1)** subject to the availability of distributable profits **(1)**

- the shares cannot be bought back **(1)** by the company **(1)** **[4]**

**(b)** **(i)** General reserve = 120 000 + 7 000 = 127 000 **(1)** **[1]**

**(ii)** Retained earnings = 187 080 + 136 204 **(1)** – 7 000 **(1)** = 316 284 **(1)** **[3]**

**(c)**

QJS (Pty) Ltd

Statement of Financial Position as at 31 August 2026

| | | E | E |
|---|---|---|---|
| Non-current assets | | | |
| Premises at valuation | | | 660 000 |
| Plant and equipment at valuation | | | 176 000 **(1)** |
| Total non-current assets | | | 836 000 |
| Current assets | | | |
| Inventory | | 317 426 | |
| Trade receivables | | 301 219 | |
| Bank | | 28 100 | 646 745**(1)** |
| | | | 1 482 745 |
| Capital and reserves | | | |
| Share capital: Authorised and issued | – Ordinary | | 500 000 |
| | - Preference | | 300 000 **(1)** |
| | | | 800 000 |
| Reserves: | | | |
| General reserve | | 127 000**(1)OF** | |
| Retained earnings | | 316 284**(1)OF** | 443 284 |
| | | | 1 243 284**1OF** |
| Non-current liabilities | | | |
| 8% Debentures, 2016/2028 | | | 100 000**(1)** |
| Current liabilities | | | |
| Trade payables | | | 139 461**(1)** |
| | | | 1 482 745 |

**[8]**

**(d)** **(i)** ROCE = $\dfrac{(187\ 080 + 8\ 000\mathbf{(1)})}{(1\ 243\ 284\mathbf{(1)OF} + 100\ 000\mathbf{(1)})}$ x 100 = 14.52%**(1)OF** **[4]**

**(ii)** It measures the profit earned for every E100 used in the business. **[1]**

**(e)** Capital owned is the amount owed by the business to the owners of the business on a certain date **(1)**

Capital employed is the total funds which are being used by the business **(1)**. **[2]**

**[Total: 27]**